



清华大学
Tsinghua University

General Management 2026 Spring

Dr. Liuxin Yan

Assistant Professor

Leadership and Organization Management

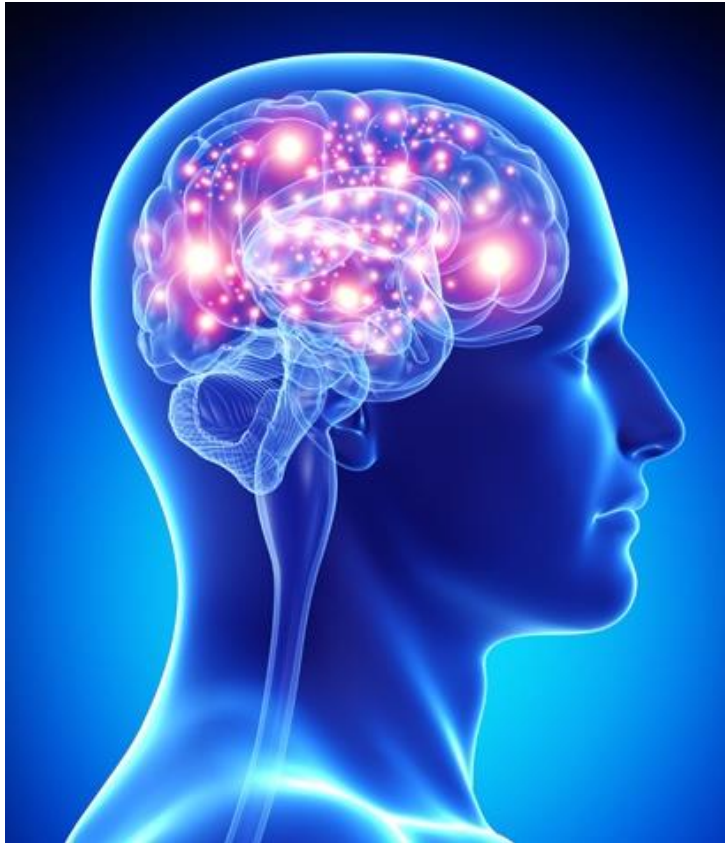
School of Economics and Management

Decision Making



- Individuals make **decisions** – choosing from two or more alternatives.
- Decision making occurs as a reaction to a **problem**.

Why do People Not Always Make Optimal Decisions?

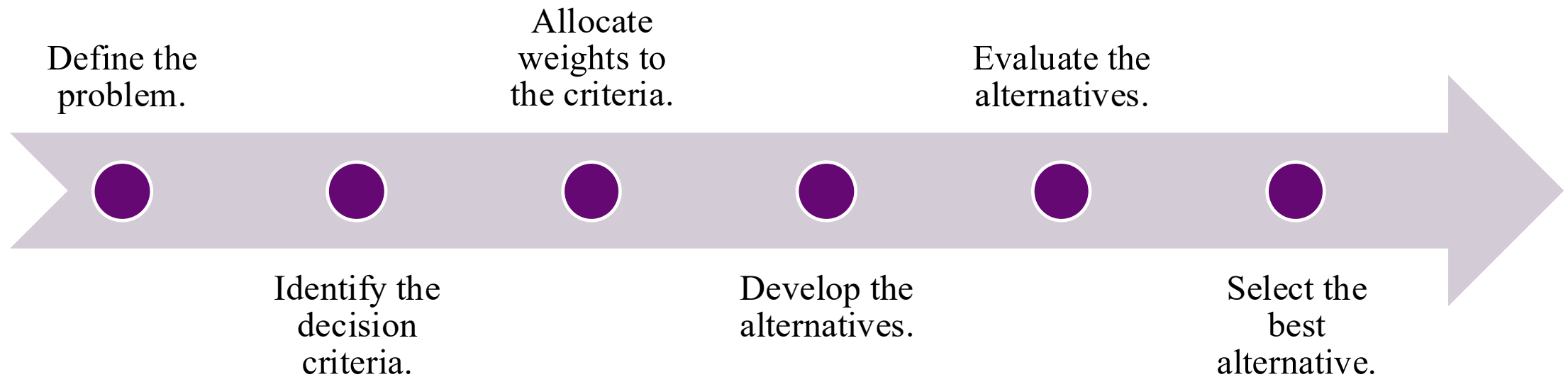


Brain is trimmed for efficiency

- Sensory system fires **neurons** to brain in most **efficient** way
- Most of the time, this **works in our favour...**
- ...but in certain situations, this can lead to **decision biases**:
 - Complex decisions
 - Uncertainty
 - Changing information
 - Time pressure, etc...



Rational Model of Decision Making



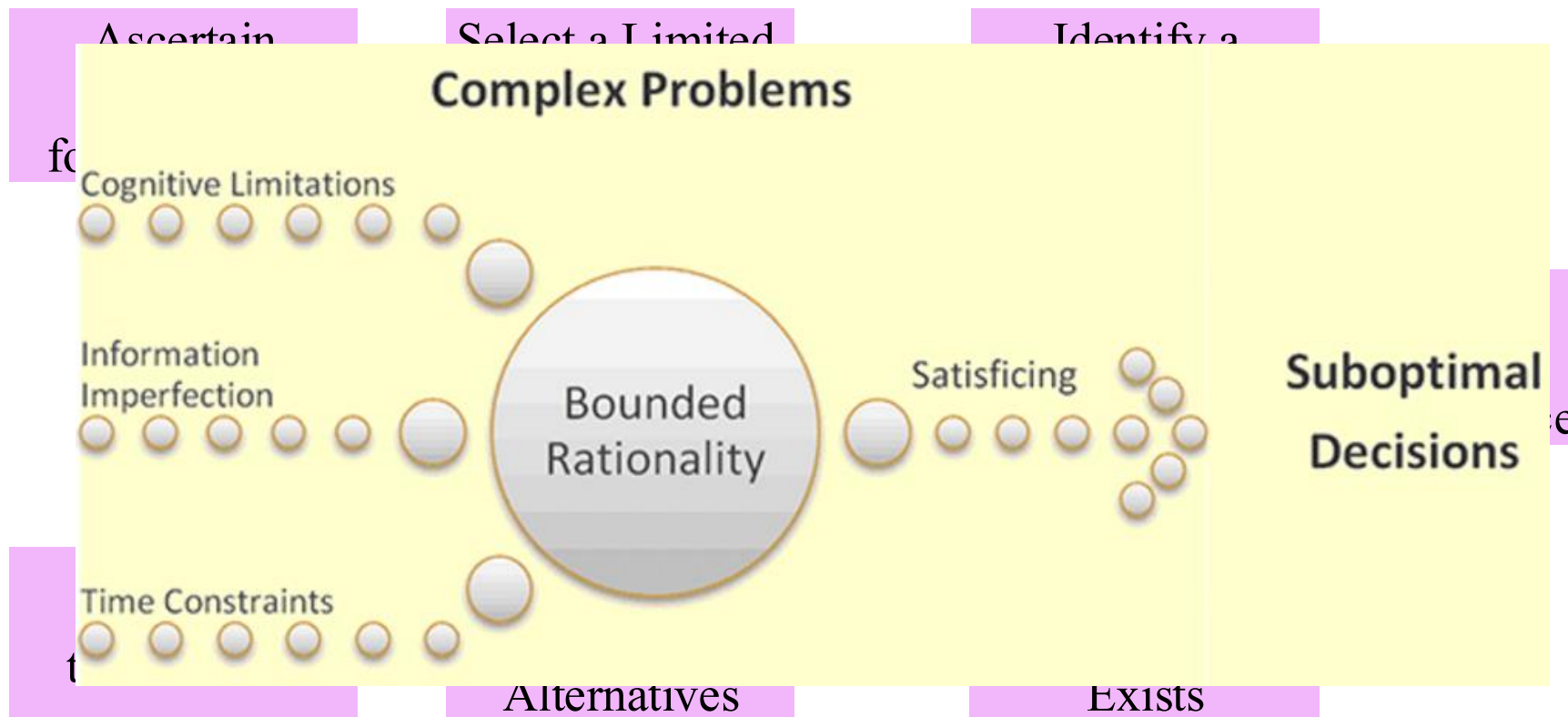


- **How does bounded rationality work?**
 - Once a problem is identified, the search for criteria and options begins.
 - A limited list of the more conspicuous choices is identified.
 - The decision maker then reviews the list, looking for a solution that is **“good enough.”**

Bounded Rationality



A Model of Bounded Rationality

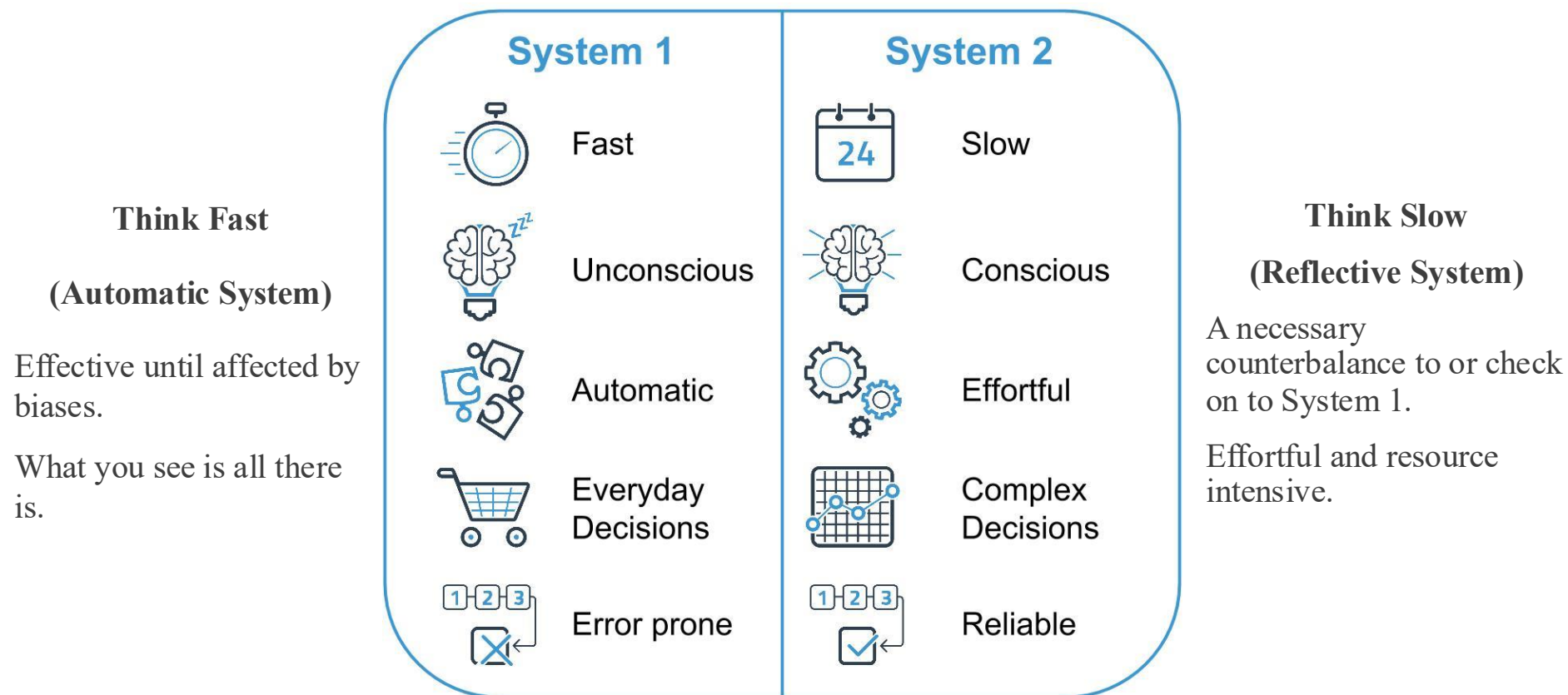


Herbert Simon, Nobel Prize-winning scholar (1957)

Bounded Rationality



Kahneman: Thinking *fast* and *slow*

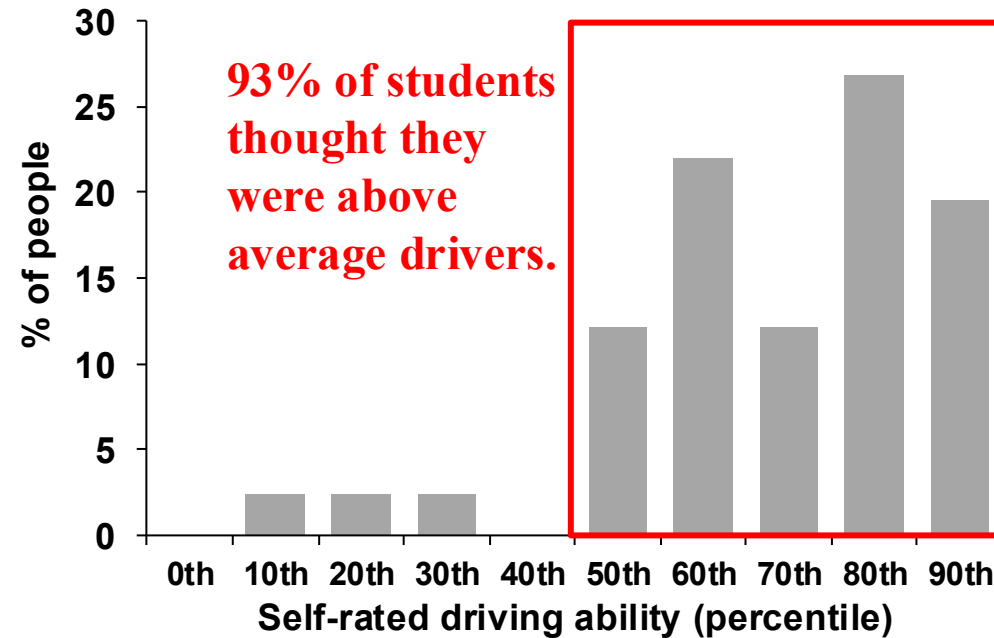


Overconfidence bias



Driving ability

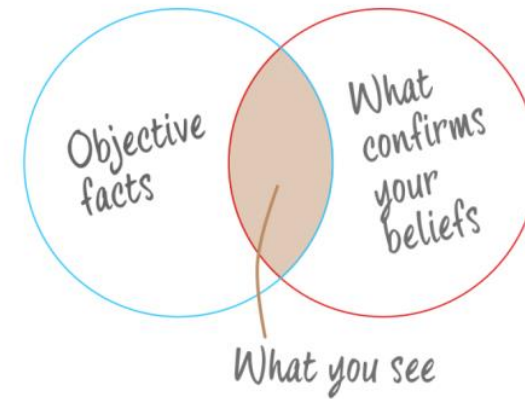
- 81 American students
- “How would you evaluate your driving skills relative to the other participants in this study?”



Availability Bias



- Are we more likely to die from car accidents or airplane crash?
- We are the product of our experiences (seeing/reading)
- We assume our experiences are balanced...**THEY'RE NOT!!**
- We tend to distort risk and probabilities



Sunk Cost Fallacy



People continue to throw good money after bad money even after they realize that other options are better

Escalation of Commitment



Illusion of control



- We believe we have control over our lives/destiny ; **We have to acknowledge that random things occur**
- Don't ascribe meaning to random events
- Don't use “fate” to explain random events
- Don't turn imaginary patterns into superstition

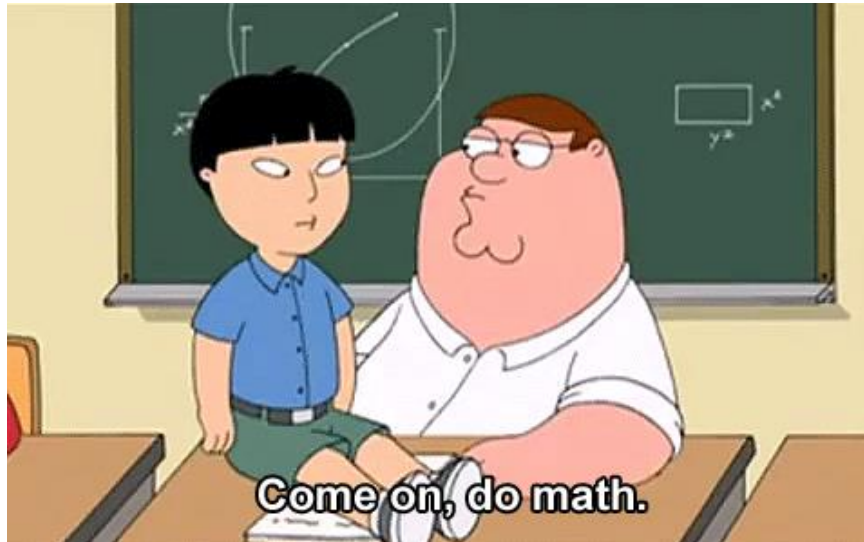
Randomness Error



- Independent events are just independent events!!
- Independent events are not conditional upon what happened in the past!!

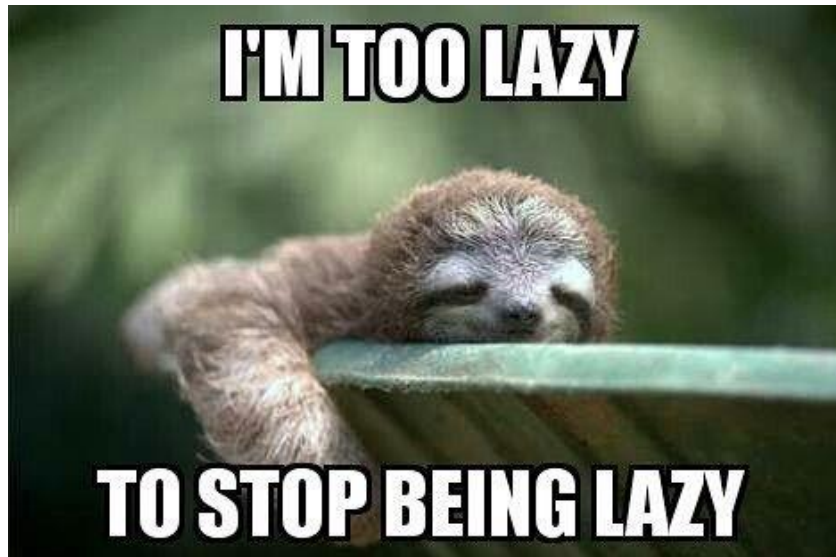
Never gamble pls!

Confirmation Bias



- We don't OBJECTIVELY gather data, we SUBJECTIVELY gather it
- For example, imagine that a person holds a belief that left-handed people are more creative than right-handed people.
- Whenever this person encounters a person that is both left-handed and creative, they place greater importance on this “evidence” that supports what they already believe.

Status Quo Bias



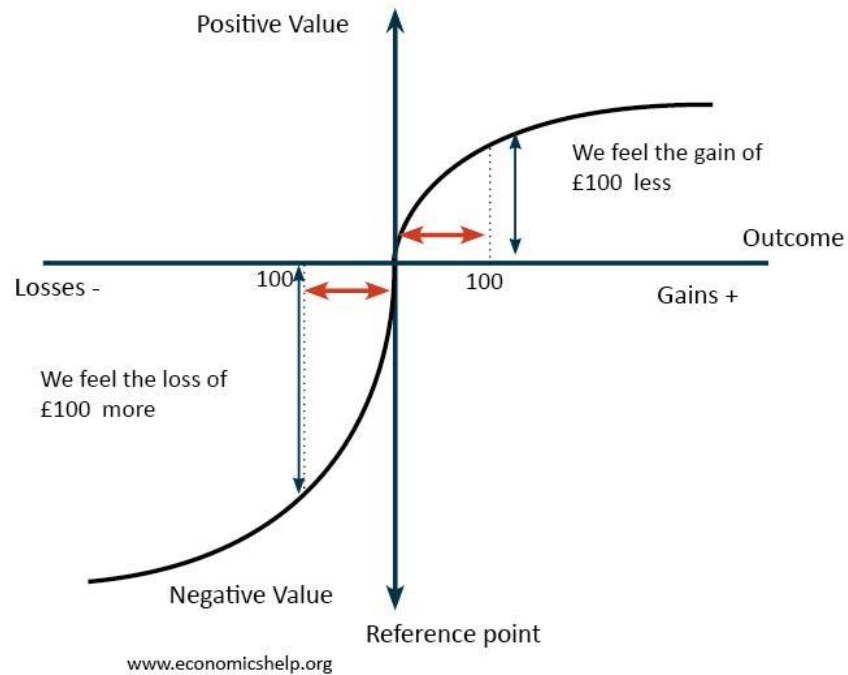
- Too difficult to make decisions: The more choices you are given, the more pull the status quo has
- Rule of satisficing (“Good enough”), not optimizing
- ****Not making a decision is a decision****

Anchoring Bias



- For example, if you first see a T-shirt that costs \$1,000 – then see a discount tag that says it now costs \$300 – you’re prone to see the shirt as cheap.
- Compared to just seeing a price tag of \$300

Loss Aversion



Safe option: 200 of the planned 600 people will be retained

Risky option: 1/3 probability that all 600 people will be retained; 2/3 probability that no one will be retained

Safe option: 400 of the planned 600 people will be fired

Risky option: 1/3 probability that no one will be fired,; 2/3 probability that all 600 people will be fired

****People prefer sure gain over probabilistic gain****

****People prefer probabilistic loss over sure loss****



Words to Remember

“If there’s something you really want to believe, that’s what you should question the most.” —Penn Jillette

“It is an acknowledged fact that we perceive errors in the work of others more readily than in our own.” —Leonardo da Vinci

Influence Tactics



- Liking
- Reciprocity
- Social proof
- Consistency
- Authority
- Scarcity

#1: Liking

- We are more persuaded by people we like (i.e., mood / similarity)
 - We like similar others
 - We like to receive compliments
 - We like people who cooperate with us
 - We like goodlooking people (!)



#2: Reciprocity



- People feel that they are obligated to give when they receive



#3: Social Proof

- People follow the leads of others to determine their own actions; “follow what everyone else is doing”



#4: Consistency



- People align with their clear commitments
 - Ask for early commitments
 - Ask for easy commitments
 - Also known as “foot-in-the-door” in psychology

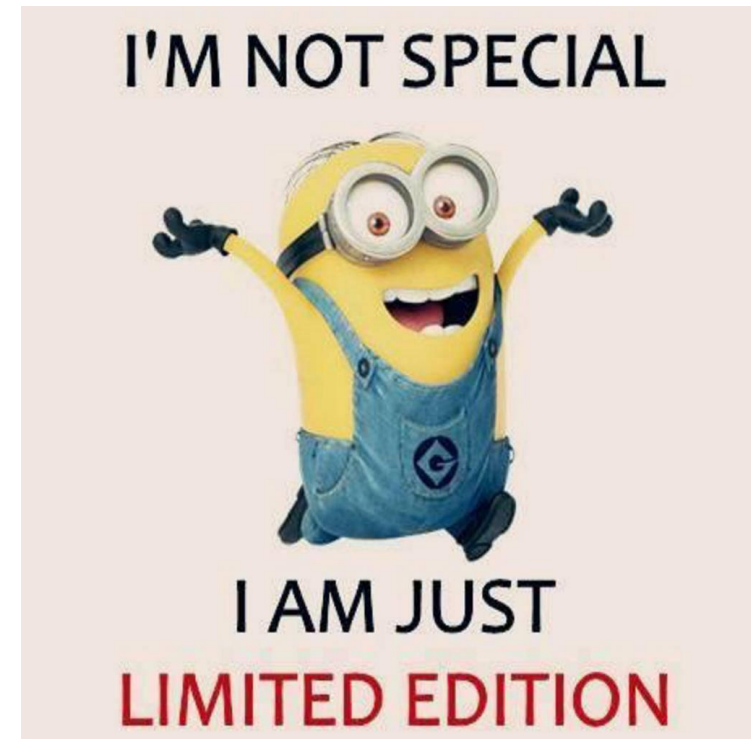
#5: Authority

- People are influenced by our deep-seated sense of duty to authority
- Genuine practical advantages to obeying authority



#6: Scarcity

- People want more of what they can have less of



Persuasion is NOT Always About Logic

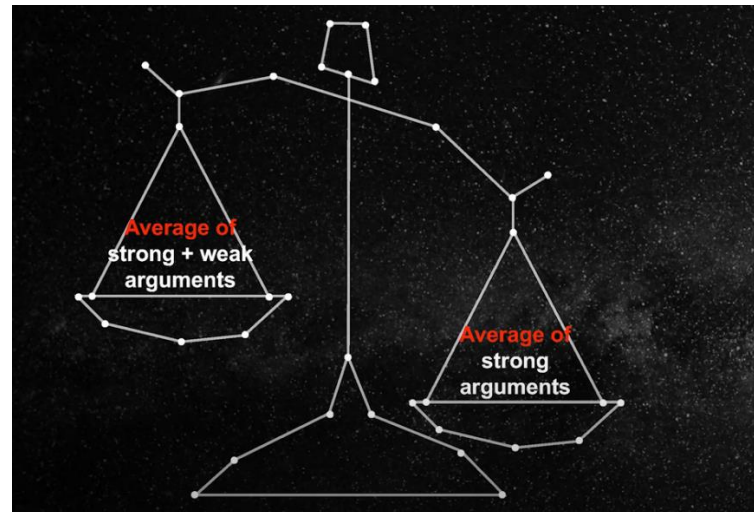
- The statistics were *half* as effective as the single example with photo.
- More vivid mental imagery
- Increased feelings of guilt (Small et al., 2007)

Every 3.6 seconds a person
dies of hunger
75%
of them are children



Be Careful About Dilution Effect

- **Dilution effect:** Your arguments don't add up (as you think); they average out.
- Weak arguments dilute strong arguments.





Words to Remember

“If there’s something you really want to believe, that’s what you should question the most.” —Penn Jillette

“It is an acknowledged fact that we perceive errors in the work of others more readily than in our own.” —Leonardo da Vinci